The Walt Disney Company (DIS)

Q2 FY25 Earnings Review - Guidance raise, DTC profit step-up, and Experiences strength offset sports cost timing

Rating	12-mo price target	Current price	Implied upside	Market cap
Outperform	$120	$98.79	21.5%	$175.1bn

Investment view

We remain constructive on DIS following Q2 FY25. The quarter extended the turnaround narrative: revenue grew 7%, adjusted EPS rose 20%, and management lifted FY25 adjusted EPS guidance to $5.75, or 16% growth over FY24. The biggest positives were continued DTC profitability, a stronger Experiences quarter, and robust free cash flow. The main pushbacks are sports rights cost timing, international parks softness, and the extent to which first-half cash flow benefits from tax deferrals rather than pure underlying conversion.

Key takeaways

- Earnings quality improved: Q2 revenue rose 7% to $23.6bn, total segment operating income rose 15% to $4.4bn, and adjusted EPS rose 20% to $1.45.

- Entertainment was the clear profit driver: segment operating income rose 61% to $1.3bn as DTC operating income increased to $336mm and Content Sales/Licensing swung profitable.

- Experiences reaccelerated: operating income rose 9% to $2.5bn, led by 13% domestic Parks & Experiences growth and 14% Consumer Products growth.

- Sports was the near-term drag: operating income declined 12% to $687mm due to CFP/NFL timing, higher programming costs, and the Venu JV exit.

- Cash flow was strong but needs normalization: Q2 FCF more than doubled to $4.9bn, helped by tax deferrals, while cruise capex remains elevated.

Bottom line

We rate DIS Outperform with a $120 12-month price target. Our target applies ~19.0x to FY26E adjusted EPS of ~$6.30. At the current price, DIS trades at ~17.2x FY25E adjusted EPS and ~15.7x FY26E adjusted EPS. We view that as attractive for a scaled IP platform with improving streaming profitability, higher parks/cruise capacity, and a cleaner capital return story.

Quarterly scorecard

Q2 FY25 was a clean beat/raise quarter. Management moved from high-single digit adjusted EPS growth guidance to an explicit FY25 adjusted EPS target of $5.75, representing 16% growth versus FY24. The strongest operating lens is adjusted EPS and segment operating income, because GAAP EPS benefited from a prior-year tax matter and the prior-year comparison included substantial impairment charges.

Metric	Q2 FY25	Q2 FY24	YoY
Revenue	$23.6bn	$22.1bn	7%
Income before taxes	$3.1bn	$0.7bn	>100%
Segment operating income	$4.4bn	$3.8bn	15%
Adjusted EPS	$1.45	$1.21	20%
Free cash flow	$4.9bn	$2.4bn	>100%

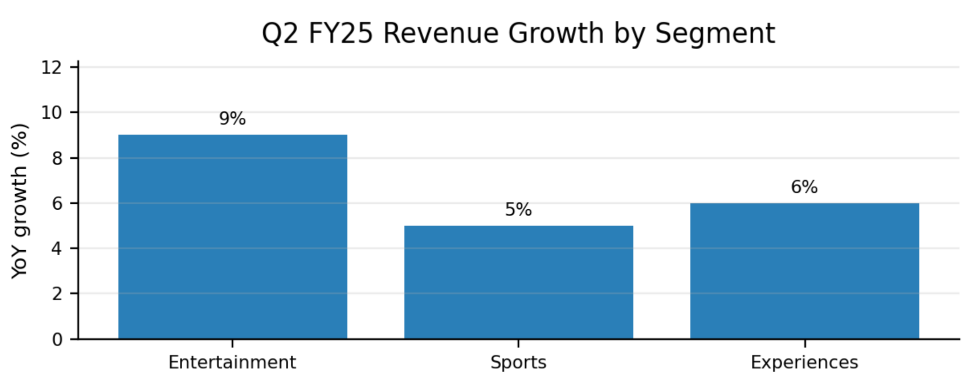
What mattered most

- The guidance raise matters: FY25 adjusted EPS guidance moved to $5.75, up 16% over FY24, with management also lifting operating cash flow guidance to $17bn due to deferred tax payments.

- DTC profitability is becoming repeatable. DTC operating income improved by $289mm year over year to $336mm despite ongoing technology, distribution, and programming investment.

- Experiences momentum broadened domestically, with higher cruise days, attendance, room nights, Disney Vacation Club sales, and guest spending offsetting inflation and cruise expansion costs.

- Sports results were noisy: revenue grew 5%, but the profit bridge was pressured by rights timing, additional CFP/NFL games, and the Venu write-off.

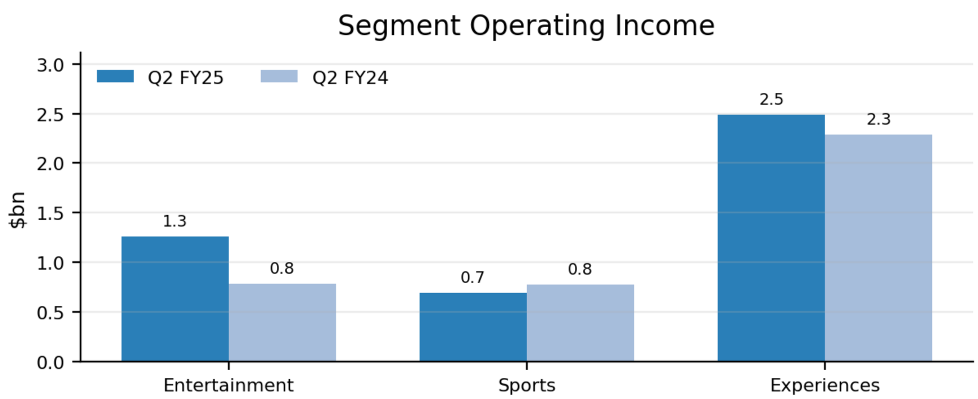


Source: Company Q2 FY25 earnings release, summarized financial and segment results.

Segment snapshot

The Q2 segment setup was straightforward: Entertainment and Experiences drove the profit beat, while Sports was a cost-timing drag. Importantly, H1 segment operating income rose 23% to $9.5bn, already implying strong progress toward full-year EPS guidance.

Segment	Q2 revenue	Revenue YoY	Q2 op. income	Op. income YoY	Analyst read-through
Entertainment	$10.7bn	9%	$1.3bn	61%	DTC profit + studio/content recovery; linear mix still declining.
Sports	$4.5bn	5%	$0.7bn	(12%)	Domestic ESPN revenue strong, but rights/cost timing depressed profit.
Experiences	$8.9bn	6%	$2.5bn	9%	Domestic parks/cruise strength; international parks soft.



Segment implications

- Entertainment remains the primary source of operating leverage. The 61% OI growth demonstrates that streaming and studio profitability can offset pressure in linear networks.

- Sports remains a strategic asset but introduces quarterly volatility around rights timing, live-event calendars, and the transition toward a new ESPN DTC offering.

- Experiences continues to validate Disney's IP flywheel, with domestic parks, cruise, and Consumer Products providing durable earnings support.

Deep dive: Entertainment and DTC

Entertainment generated the most important profit signal in Q2. Segment operating income rose 61% to $1.3bn, led by DTC and Content Sales/Licensing. Linear Networks revenue declined, but domestic linear OI rose 20% as lower marketing, programming, and technology costs offset advertising pressure.

DTC / streaming metrics	Q2 FY25	Prior period / Q2 FY24	Change
DTC revenue	$6.1bn	$5.6bn	8% YoY
DTC operating income	$336mm	$47mm	+$289mm YoY
Disney+ subscribers	126.0mm	124.6mm	1% q/q
Hulu subscribers	54.7mm	53.6mm	2% q/q
Disney+ ARPU	$7.77	$7.55	3% q/q
ESPN+ ARPU	$6.58	$6.36	3% q/q

DTC profit bridge is improving

- Subscription revenue growth was driven by higher effective rates and subscriber growth, partially offset by foreign exchange and the absence of Star India subscription revenue after the joint venture transaction.

- Advertising revenue grew on higher impressions despite lower rates, indicating that scale and engagement can partly offset ad pricing volatility.

- The cost base still increased from technology/distribution and higher Hulu Live programming license fees, but the direction of travel remains positive.

Studio/content rebound matters

Content Sales/Licensing and Other revenue rose 54% to $2.1bn and operating income improved to $153mm from a loss of $18mm. The improvement reflected episodic content sales, Moana 2 home entertainment, and carryover strength from first-quarter releases, though theatrical marketing costs for Snow White and Captain America: Brave New World limited the profit upside in the quarter.

Deep dive: Sports and Experiences

Sports and Experiences moved in opposite directions in Q2: Sports revenue growth did not translate to profit growth because of event timing and rights costs, while Experiences delivered both revenue and profit growth despite elevated cruise and inflation-related costs.

Metric	Q2 FY25	Q2 FY24 / prior	Change / read-through
Sports revenue	$4.5bn	$4.3bn	5% YoY; Domestic ESPN +7%
Sports operating income	$687mm	$778mm	(12%) YoY
ESPN+ subscribers	24.1mm	24.9mm	(3%) q/q
Experiences revenue	$8.9bn	$8.4bn	6% YoY
Experiences operating income	$2.5bn	$2.3bn	9% YoY
Domestic Parks & Experiences OI	$1.8bn	$1.6bn	13% YoY

Sports: near-term cost pressure, long-term strategic value

- Domestic ESPN revenue grew 7%, with advertising up 29% due to higher rates, average viewership, and the benefit from additional CFP and NFL games.

- Operating income declined because those same additional games carried higher programming and production costs; the Venu JV exit also weighed on the quarter.

- We view the upcoming ESPN DTC offering as a strategic catalyst, but expect near-term quarterly volatility from rights costs and event timing.

Experiences: domestic strength offsets international softness

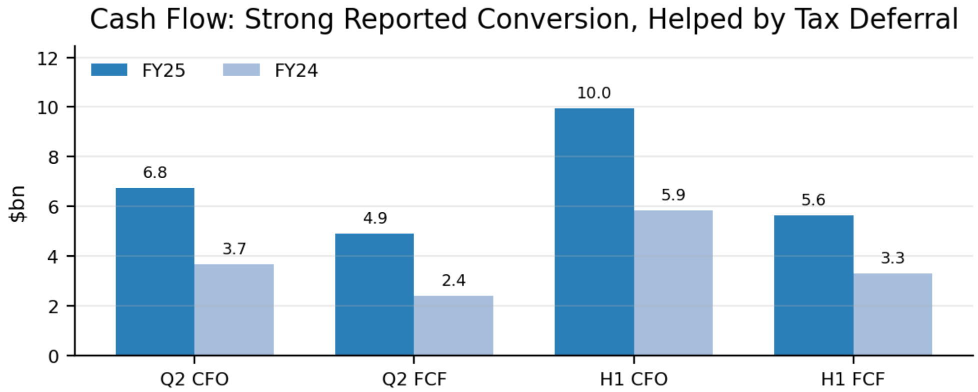
- Domestic growth reflected higher cruise days from Disney Treasure, higher theme park attendance, occupied room nights, DVC unit sales, and higher guest spending.

- International operating income declined 23%, driven by lower attendance and higher costs at Shanghai Disney Resort and Hong Kong Disneyland Resort.

- Consumer Products operating income rose 14%, helped by licensing revenue including Marvel Rivals.

Cash flow, balance sheet, and capital returns

Cash flow was strong on a reported basis, but investors should separate true operating improvement from tax deferral effects. Management raised FY25 cash provided by operations guidance to $17bn, explicitly citing the deferral of tax payments. Capex is also structurally elevated as Disney invests in cruise fleet expansion and Experiences capacity.



Cash / balance sheet item	Q2/H1 FY25	Comment
Q2 cash provided by operations	$6.8bn	+84% YoY
Q2 free cash flow	$4.9bn	More than doubled YoY
H1 cash provided by operations	$10.0bn	+70% YoY; tax deferral benefit
H1 capex	$4.3bn	Up $1.8bn; cruise fleet expansion
Cash & equivalents	$5.9bn	At March 29, 2025
Total borrowings	$42.9bn	Current + long-term borrowings
Share repurchases	$1.0bn Q2 / $1.8bn H1	On pace for $3bn FY25 target

Valuation framing

At $98.79, DIS trades at ~17.2x FY25 adjusted EPS guidance of $5.75 and ~15.7x our illustrative FY26E EPS of ~$6.30. We believe a ~19x multiple is reasonable given improving DTC economics, higher Experiences capacity, and a resuming capital return program. This supports our illustrative $120 price target.

Outlook, catalysts, and risks

Management commentary was broadly constructive for the balance of FY25. The company guided to modest Disney+ subscriber growth in Q3, FY25 adjusted EPS of $5.75, Sports segment operating income growth of 18%, and Experiences segment operating income growth of 6% to 8%. The company also noted macroeconomic uncertainty, which is most relevant to parks, advertising, and discretionary consumer spending.

Catalyst / debate	Why it matters
FY25 adjusted EPS target of $5.75	Creates a more tangible earnings anchor and implies 16% growth over FY24.
ESPN DTC launch	Could expand distribution and monetization, but rights costs and subscriber economics need proof.
Experiences expansion / cruise capacity	Supports long-term growth, but raises near-term capex and pre-opening expenses.
DTC profitability trajectory	Key variable for multiple expansion; Q2 showed operating profit is scaling.

Key risks

- Macro and consumer risk: parks, cruises, advertising, and theatrical performance remain sensitive to discretionary spending.

- Sports rights inflation: higher programming costs can pressure ESPN margins during the DTC transition.

- Streaming churn and ARPU: pricing actions support revenue, but subscriber growth and engagement must remain resilient.

- Execution risk in Experiences capex: cruise fleet and parks expansion require sustained demand and disciplined returns.

- International parks volatility: Q2 showed pressure at Shanghai Disney Resort and Hong Kong Disneyland Resort.

Conclusion

Q2 FY25 strengthened the bull case for Disney: the company paired DTC profit progress with Experiences resilience and a raised EPS outlook. The cash flow beat is partly timing-related, and Sports will remain volatile, but the earnings recovery is broad enough to support an Outperform rating in this analyst-style framework.